



Republic of the Philippines
Province of Sorsogon
MUNICIPALITY OF PRIETO DIAZ
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Office of the Sangguniang Bayan

EXCERPT FROM THE MINUTES OF THE REGULAR SESSION OF THE 12TH SANGGUNIANG BAYAN OF PRIETO DIAZ, SORSOGON HELD ON JULY 14, 2025 AT ITS SESSION HALL

PRESENT:

Hon. Avon D. Domalaon, MPA	Municipal Vice Mayor/Presiding Officer
Hon. Ryand D. Diño	Sangguniang Bayan Member
Hon. Vicente B. Bayoca	Sangguniang Bayan Member
Hon. Bienvenido D. Ayo, Jr.	Sangguniang Bayan Member
Hon. Joseph H. Yap, Jr.	Sangguniang Bayan Member
Hon. Alexander D. Destura	Sangguniang Bayan Member
Hon. Jo Madel D. Domalaon	Sangguniang Bayan Member
Hon. Juan D. Ebid	Sangguniang Bayan Member
Hon. Lilia D. Oliveres	Sangguniang Bayan Member
Hon. Antonio J. Emano, Jr.	LnB Pres./S. B. Member
Hon. Rene Joseph D. Domasian	SKMF Pres./S. B. Member

ABSENT:

None

RESOLUTION NO. 112-2025

Introduced by Hon. Antonio Emano, Jr.

A RESOLUTION AUTHORIZING THE MUNICIPAL MAYOR, HON. ROMEO D. DOMASIAN, TO ENTER INTO A MEMORANDUM OF AGREEMENT (MOA) WITH FIRST CONSOLIDATED BANK (FCB), GUBAT BRANCH, REPRESENTED BY ITS BRANCH MANAGER, NEIL CHRISTOFFER H. BORJA, FOR THE EXTENSION OF SALARY LOAN PROGRAM TO THE OFFICIALS AND EMPLOYEES OF THE LOCAL GOVERNMENT UNIT OF PRIETO DIAZ, SORSOGON

WHEREAS, the Local Government Unit of Prieto Diaz signified its interest to avail of the services of the FCB, particularly its Salary Loan facility for permanent and elective officials and employees;

WHEREAS, FCB has agreed to the said request, subject to such terms and conditions as may be mutually agreed;

WHEREAS, the august body is cognizant, among others, that the interest rate on the loan under the facility shall be start from 7.8% every month and the loan term may be extended from 12 to 60 months;

WHEREAS, on motion of Hon. Alexander Destura, duly seconded by Hon. Juan Ebid;

NOW, THEREFORE, be it as it is;

HEREBY RESOLVED, to authorize the Municipal Mayor, Hon. Romeo D. Domasian, to enter into a Memorandum of Agreement (MOA) with First Consolidated Bank (FCB), Gubat Branch, represented by its Branch Manager, Neil Christoffer H. Borja, for the extension of Salary Loan Program to the officials and employees of the Local Government Unit of Prieto Diaz, Sorsogon;

FINALLY RESOLVED, to transmit this resolution to Hon. Romeo D. Domasian, Municipal Mayor; copy furnished Ms. Gemma Ferrer, Municipal Treasurer; Ms. Maribel Aldon, Municipal Accountant; and all concerned for their information and appropriate action;

APPROVED UNANIMOUSLY.

I HEREBY CERTIFY TO THE CORRECTNESS OF THE FOREGOING.


BERNADETTE R. ESPEÑA-YAO
Secretary to the Sanguuniang Bayan

ATTESTED:


Hon. AVON D. DOMALAON, MPA
Municipal Vice Mayor/Presiding Officer

MEMORANDUM OF AGREEMENT

(Salary Loan Facility)

KNOW ALL MEN BY THESE PRESENTS:

This Memorandum of Agreement (MOA) made and entered by and between:

The **FIRST CONSOLIDATED BANK, INC.**, a private development bank duly organized and existing by virtue of RA No. 7906, as amended, with principal office at CPG North Avenue, Taloto District, Tagbilaran City, Bohol and branch office at Corner Mabini and Zulueta Sts., Brgy. Luna-Candol(POB), Gubat, Sorsogon represented in this agreement by **Neil Christoffer H. Doroja**, Manager, Gubat Branch and hereinafter referred to as "**FCB**".

- and -

The **LOCAL GOVERNMENT OF PRIETO DIAZ** represented in this agreement by its incumbent Municipal Mayor, the **Honorable Romeo D. Domasian** and hereinafter referred to as the "**LGU**".

WITNESSETH:

WHEREAS, the LGU has signified its interest to avail of the services of the FCB, particularly its Salary Loan Program for the permanent/regular employees of LGU of **PRIETO DIAZ**;

WHEREAS, in consideration of the FCB's willingness to extend salary loans to permanent/regular employees of LGU PRIETO DIAZ, the LGU represented by its Municipal Mayor, agrees to effect the necessary payroll deductions against their salaries and to remit the same to the FCB for application to the payment of the said loans;

NOW THEREFORE, in consideration of the foregoing premises, the FCB and the LGU have mutually agreed to enter into this Memorandum of Agreement with the following terms and conditions, to wit:

A. Salary Loan Facility – Eligibility

1. Regular employees of the LGU holding permanent appointment for the last six months.
2. Elective officials whose remaining term of office shall be at least two months longer than the maturity date of the loan.
3. Employees and elective officials must have no pending administrative/criminal case filed against him/her.
4. Employees and elective officials with existing account must be up to date in the repayment of outstanding loan.
5. Employee must have no pending application for retirement or must not be due for retirement within the term of the loan;

B. Salary Loan Facility Parameters – Terms and Conditions

6. **Loan Amount** – If the monthly net take home pay can sustain the repayment of the total obligation a qualified employee may apply for loan accommodation equivalent to one month basic pay but not to exceed One Million Pesos (Php1, 000,000.00). Provided, the net take home pay after the loan is not less than the GA (General Appropriation) requirement set for government employees.
7. **Loan Term** – The term of the loan is either 12, 24, 36, 48 and 60 months payable in monthly installments which shall be deducted directly from the employee's salary by the Treasurer / Disbursing Officer / Chief of Office / Payroll Maker and shall not allow any interruption in the payroll deduction for any reason whatsoever until the loan is fully paid. The first deduction/amortization starts on the payroll date immediately after the loan is released. The 4 year and 5-year loan terms shall be available after the LGU employees' repayment history has been established (4-year term is available on year 3 while the 5-year term is available on year 4).
8. The Interest rate, method of Computation and Other Non-Finance Charges of the salary loans granted to the regular employees of LGU PRIETO DIAZ shall be as follows:

Term of Loan	12 Months	24 Months	36 Months	48 Months	60 Months
Payment Mode	Monthly	Monthly	Monthly	Monthly	Monthly
Nominal Interest Rate	7.80%	18.18%	29.16%	40.72%	52.85%
Front End Deductions:					
Service Fee (ST)	2%				
Documentary Stamps	P1.50/P200 of Loan or Fraction thereof	P1.50/P200 of Loan or Fraction thereof	P1.50/P200 of Loan or Fraction thereof	P1.50/P200 of Loan or Fraction thereof	P1.50/P200 of Loan or Fraction thereof
Credit Redemption Insurance	.38% of Loan amount	.75% of Loan amount	1.13% of Loan amount	1.54% of Loan amount	1.92% of Loan amount

9. That the employee borrower shall open and maintain a savings account with deposit of equivalent to at least one month amortization of his applied deduction.
10. **Collateral**– Loans granted to qualified borrowers shall be covered with an irrevocable authority to deduct and/or with a Deed of Assignment of salary, allowances, bonuses, retirement benefits, separation/ gratuity pay, cash value of accumulated leave credits and other moneys and benefits to FCB.
11. **Co-Maker** – All borrowers must have at least two co-makers from among the employees eligible to avail the salary loan program.
12. **Re-pricing of Interest** - Interest, fees and other charges thereon may be increased or decreased by FCB, at any time during the term of the Agreement on new loans, renewal and re-loans based on changes of the FCB's cost of funds and other factors including, but not limited to, any special reserve requirements, imposition of taxes and compensating deposit

requirements. FCB will notify the LGU and the employees/borrowers of the increase or decrease thirty (30) days before implementation.

13. **Suspension of Releases** – The granting of salary loans shall be suspended indefinitely at the sole discretion of FCB whenever the past due ratio of FCB's salary loan program with the LGU exceeds FIVE (5%) PERCENT.

C. Covenants of the Parties - FCB

14. **Loan Facility**- FCB shall accept loan application, process and provides salary loans to qualified employees and elective officials of the LGU subject to the applicable program guidelines.
15. **Irrevocable Authority to Deduct** - Provide the LGU a copy of the documents signed by the employee / borrower authorizing the LGU to deduct/withhold from his or her salary the monthly loan amortization and / or total obligations due.
16. **Loan Releases Report** - Provide the LGU the list of approved loan applications twice a month incorporating the gross amount of loan, date of release and the schedule of the monthly amortization due.
17. **Collection Incentives** - Five (5) calendar days after the end of the month, pays and remits to the LGU the equivalent of one (1%) of the total collections received the previous month.

D. Covenants of the Parties - LGU

18. **Official Authority** – The LGU shall submit a Sangguniang Bayan resolution authorizing the Municipal Mayor to represent the LGU and to sign this Memorandum of Agreement
19. **Personnel Data** - Authorizes the Treasurer/Accountant/Human Resource Officer to release the data that will be required regularly by FCB relative to the roster of permanent employees and other personal information thereof.
20. **Direct Payroll Deduction** - Authorizes the Treasurer/Accountant/Payroll Officer/Chief of Office to collect or cause the collection of the full monthly amortization due from each employee/borrower starting on the payroll date immediately succeeding the release date of the loan, and/or the total obligations due.
21. **Suspension/AWOL/Termination/Separation/Retirement** – In case of suspension or the employee is declared under AWOL or the employee is terminated or separated or has retired from service, the LGU shall withhold the corresponding amount due to FCB from all salaries, moneys, bonuses, retirement and other benefits accruing to the employee-borrower and remit the amount collected to FCB within five (5) days from collection. In the event the amount collected is not sufficient to pay the outstanding loan obligations, the LGU shall collect from the co-maker/s the deficient amount required to cover the outstanding obligations.
22. **Remittance Schedule** – The LGU shall remit in full the total loan collections due to FCB within five (5) business days after payroll date together with the details of the amount collected.

E. Other Provisions

23. **Annual Review** - The Salary Loan Facility shall be subject to annual review by FCB and all availments and drawdown's thereof shall be dependent on the compliance of this Agreement.
24. **Determination of Eligibility** - Anything in this agreement, to the contrary notwithstanding, the determination of eligible Borrowers, Co-Makers and/ or Office under this Program shall be the sole prerogative of FCB.
25. **Supplement/Amendment** - The LGU and FCB may execute amendments, addendum or supplement hereto for the purpose of eliminating, adding, or changing provisions of this Agreement, as maybe mutually agreed upon.
26. **Fortuitous Events** - If for reason of fortuitous events, FCB shall not be held liable for non-compliance with its undertaking in this Agreement.

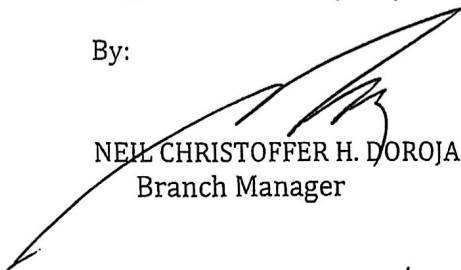
F. Effectivity

This agreement shall be effective from the date of execution hereof and shall remain in full force and effect unless terminated by any of the parties hereto upon 30 days prior written notice to the other, PROVIDED this Agreement shall continue to be in effect with respect to the obligations of the Employees-Borrowers and/or Co-Makers as long as there are unpaid loans / outstanding obligations, notwithstanding the change of administration or authorized signatory/ies.

IN WITNESS WHEREOF, the parties through their respective authorized representatives have hereunto signed this Agreement this ____ day of _____ at _____.

FIRST CONSOLIDATED BANK, INC.
Gubat Branch
Corner Mabini and Zulueta Sts.,
Brgy. Luna-Candol(POB), Gubat,

By:


NEIL CHRISTOFFER H. DOROJA
Branch Manager

LOCAL GOVERNMENT UNIT
Municipality of Prieto Diaz
Prieto Diaz, Sorsogon

By:

HON. ROMEO D. DOMASIAN
Municipal Mayor


SIGNED IN THE PRESENCE OF:

ACKNOWLEDGEMENT

Republic of the Philippines)
Province of _____) S.S.
City/Municipality of _____)

At the above-mentioned place, on the _____ day of _____, 2025 before me personally appeared:

NAME	VALID ID NO.	ISSUED ON/AT
Neil Christoffer H. Doroja	_____	_____
Romeo D. Domasian	_____	_____

Known to me to be the same persons who executed the foregoing instrument and acknowledged the same to be their free and voluntary act and deed as well as that of the corporations they respectively represent.

Said instrument refers to a MEMORANDUM OF AGREEMENT consisting of four (4) pages, including this page whereon the acknowledgment is written, and has been signed by the parties and their instrumental witnesses on each and every page thereof.

WITNESSETH MY HAND AND SEAL on the date and place first above written.

NOTARY PUBLIC

Doc. No. ____;
Page No. ____;
Book No. ____;
Series of 2025.

